THE SUPERSTORE PROFITABILITY

Identifying the Drivers of Losses & Strategic Recommendations

Presented By

THE DATA CRUNCHERS

STRATEGIC
RECOMMENDATIONS

For Profit Recovery

The Situation

Despite **$2.3M** in sales, our Median Profit is only **$8.67** (vs $28 Mean), proving that 50% of our orders are hollow.

The Opportunity

+$218K Net Profit Recovery without new products/customers.

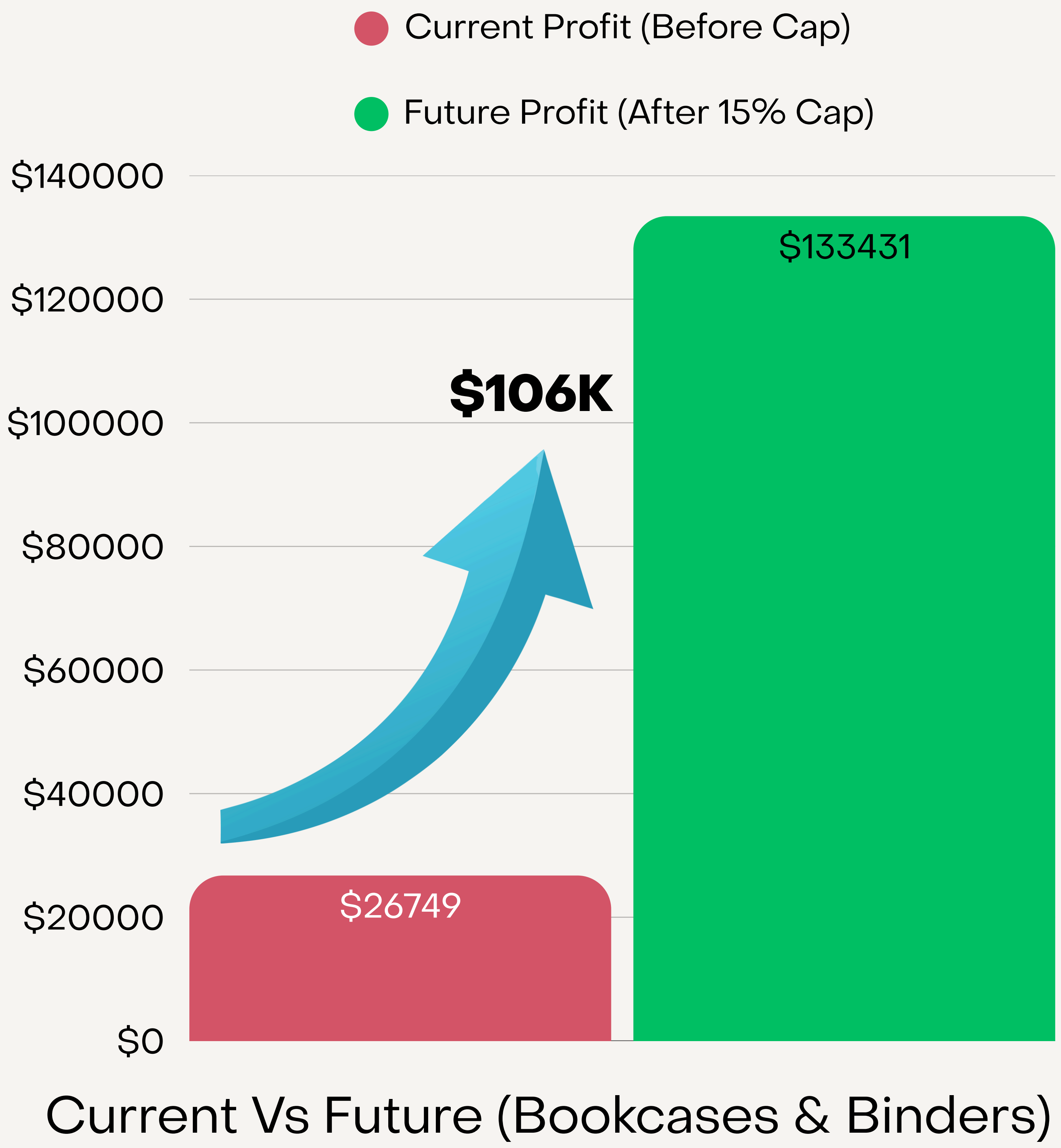
The Plan

- Cap discounts on Bookcases & Binders.
- Re-price First Class Shipping.
- Fix incentives in the East & Central regions.

The Goal

Restore Margins & Sustainable Growth.

RECOMMENDATION 1:
STOP THE BLEEDING



-$23.35

Current Loss per 10% Discount

On high-discount transactions (>20%).

15%

Hard Cap on Discounts

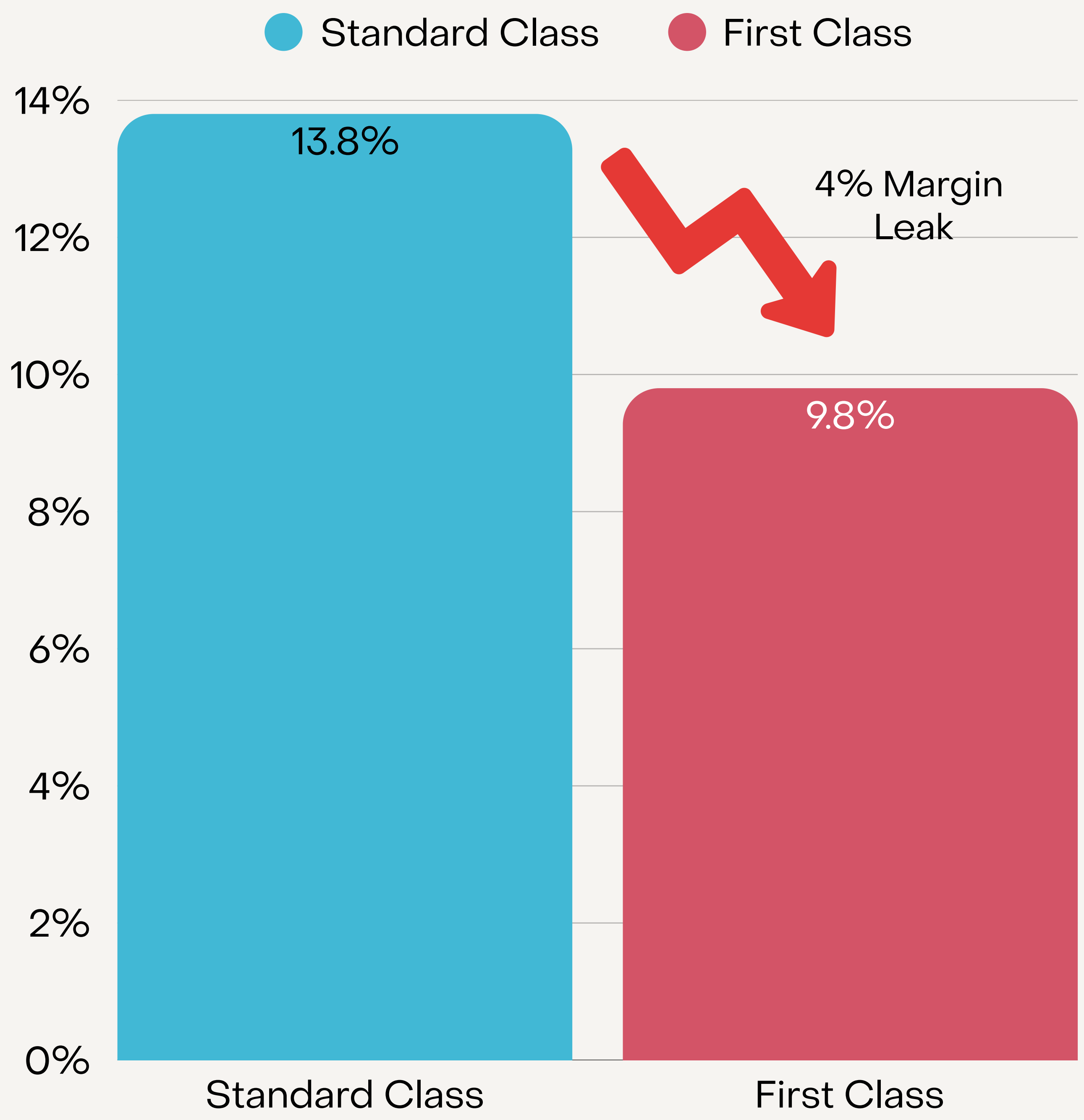
Hard Cap discounts at 15% for Bookcases and Binders.

$106k

Annual Profit Recovery

Bleeders receive 24% avg discounts but generates a loss of $81/customer, while Whales only receive 12%.

RECOMMENDATION 2:
THE COST OF SPEED



The Insight

9.8%

We are subsidizing speed. "First Class" is our least profitable option (9.8% margin).

The Action

15% or Min $100

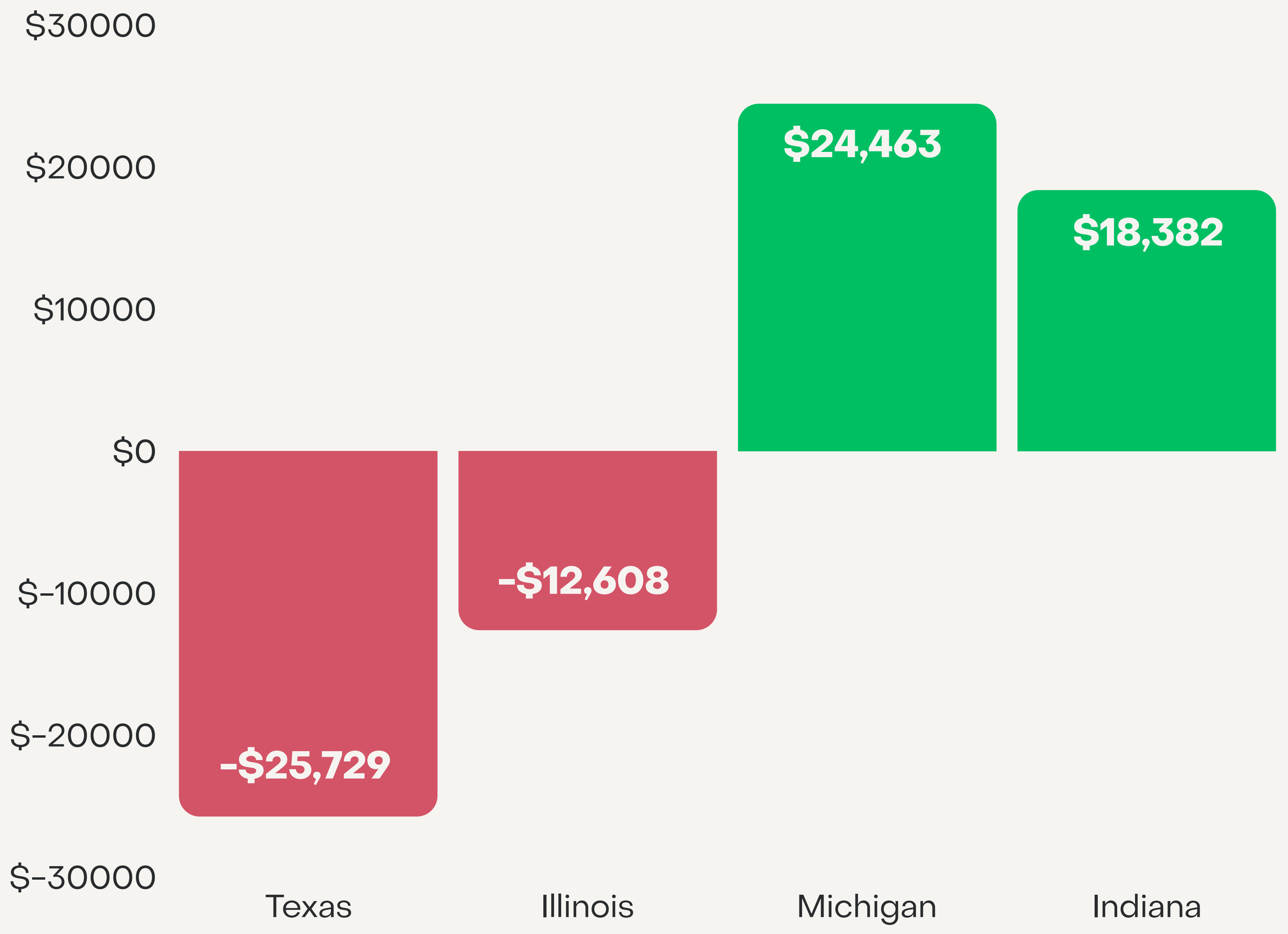
Increase 'First Class' shipping price by 15% OR raise the minimum order size for free expedited shipping to $100.

The Payoff

$14k

Closing the margin leak of 4% to recover $14k.

RECOMMENDATION 3:
THE INCENTIVE PROBLEM



The Insight

The profit issue is geographic. Sales teams in **Texas & Illinois** are incentivized on **Revenue**, leading to over-discounting to close deals.

The Action

Launch a pilot program in Texas to shift sales commissions from 'Revenue-Based' to '**Gross Margin-Based**'.

The Payoff

-$8.9k

Reverses the current **average loss per state** in this cluster would recover $98k to a break-even point

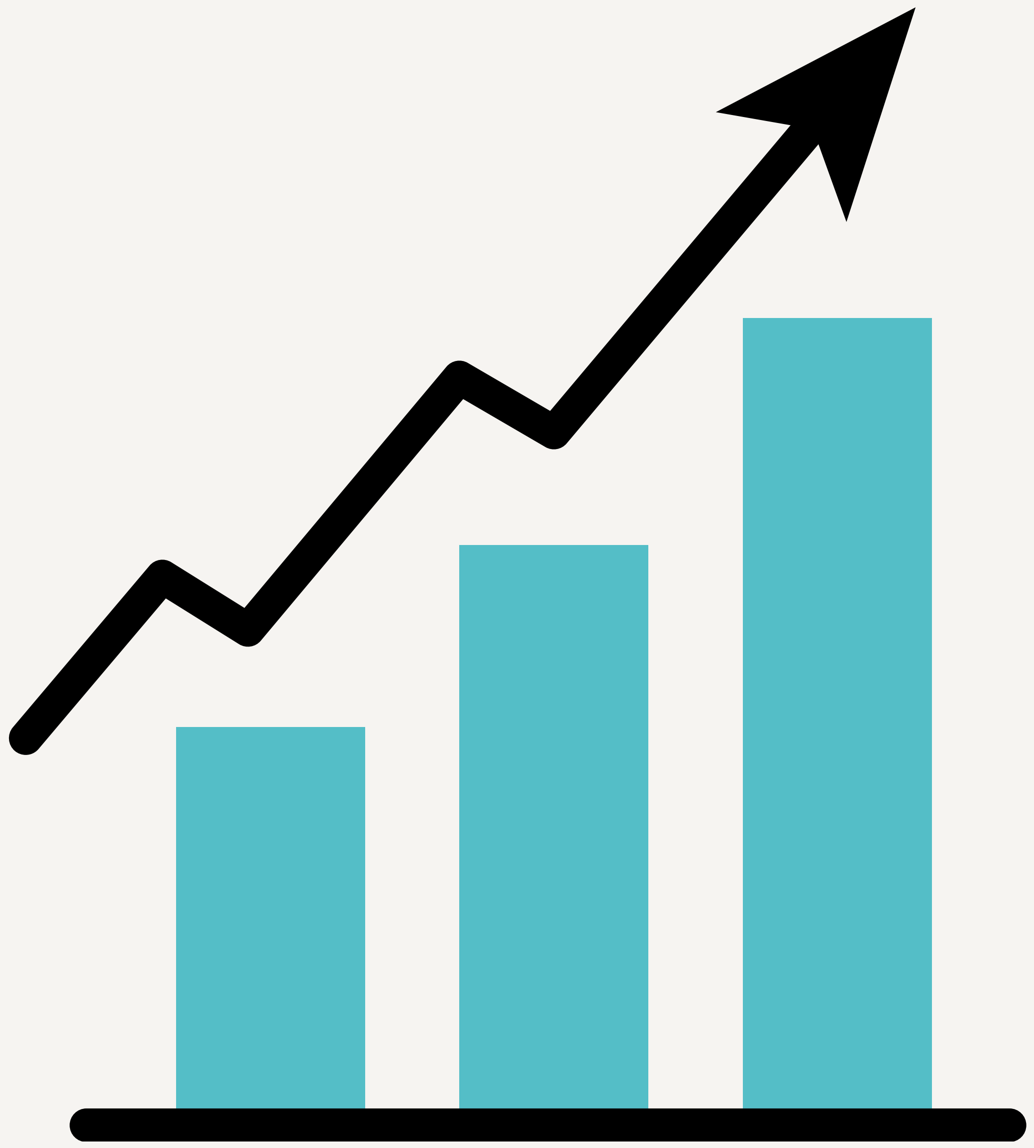
~$98k

Realigning incentives will recover the current **$98,000** annual loss in these territories, bringing them back to a break-even point.

MANAGING **RISKS & TRADE-OFFS**

Risk	Impact	Mitigation
Volume Drop	Restricting discounts may cause some customers to buy less.	We assume demand for office supplies is stable. However, we will monitor weekly volume. If it drops >10%, we will adjust the cap to 20%.
Customer Churn	"Discount Hunter" customers may leave.	Our analysis shows these specific customers are currently unprofitable. Losing them may improve our net margin percentage.

OUR 90-DAY **EXECUTION PLAN**



PHASE 1

Weeks 1-4 (Immediate)

Update POS system with 15% discount cap on Bookcases/Binders

Owner: IT & Pricing Team

PHASE 2

Months 2-3 (Operational)

Roll out new 'First Class' shipping pricing structure

Owner: Logistics & E-commerce

PHASE 3

Quarter 2 (Strategic)

Begin 'Margin-Based Commission' pilot in Texas/Illinois

Owner: HR

PHASE 4

Review

Validate profit recovery against the $218k goal

$218K IN RECOVERY

THE STRATEGY	**Three surgical changes to Pricing, Shipping, and Incentives.**
IMMEDIATE NEXT STEP	**Requesting approval to proceed with Phase 1 immediately.**

APPENDIX A
STATISTICAL PROOF

Regression Model Results

Variable	Coefficient	Interpretation
Sales	**0.18**	Profit increases by 18 cents for every dollar of sales.
Discount	**-233.5**	**The strongest driver.** A 10% increase in discount reduces profit by **$23.35**.
Quantity	**-2.96**	Selling more units actually has a slight negative effect when controlling for sales value.
ReturnedFlag	**-1.91**	**Not Statistically Significant.** Returns do not meaningfully change profit prediction at the line-item level.

P-Value of ~0 confirms Discount is the #1 driver of profit loss, outpacing Returns

APPENDIX B
THE BLEEDER CLUSTER

Customer Segmentation Analysis

Customer Cluster	Avg. Profit	Avg. Discount	Behavior Profile
Cluster 1 ("Bleeders")	**($81.01)**	**24%**	**Discount Hunters**
Cluster 2 ("Whales")	$1,868.00	12%	High Value / Loyal
Cluster 3 ("Standard")	$370.83	10%	Average / Mass Market

Identified 302 'Bleeder' customers generating negative value.